

is a key driver of economic growth, tourism development, and social integration. The modified UDAN scheme not only reinforces this foundation but also creates new opportunities for airlines like ours to expand responsibly and sustainably into underserved markets,” he adds.

Star Air says sustainability beyond the subsidy period is the real test of success. “In our experience, routes that integrate into a broader network rather than operate in isolation tend to sustain well after subsidies are phased out. We are encouraged by the extent of stakeholder involvement in drafting the modified UDAN framework. Even the smallest of details have been carefully addressed, with every concern and suggestion thoughtfully considered,” says Tiwana.

60 | RCS-UDAN is a market-driven scheme in which unserved and underserved airstrips/airports are listed for bidding by airlines to provide connectivity. Bidding rounds are conducted from time to time to cover more destinations and routes. Interested airlines submit their proposals during bidding based on their assessment of demand on particular routes.

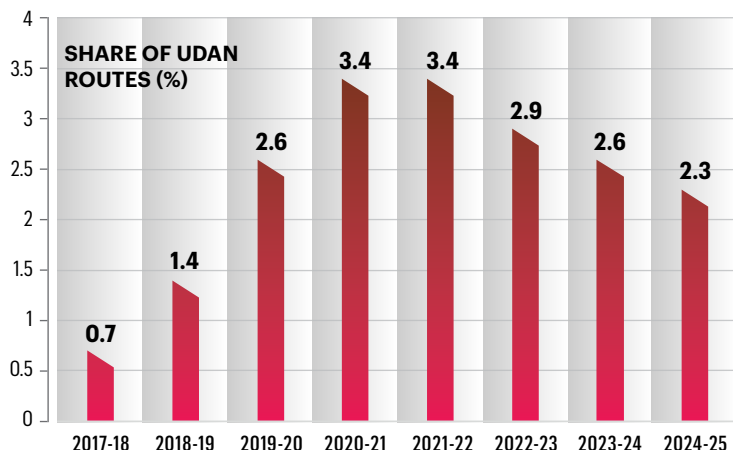
From an investment perspective, UDAN’s share in total airport capex has remained limited at 2–5%. Under the modified scheme, this is expected to double to 6% over FY27–FY31, driven by the higher capital outlay.

An analysis by Crisil shows the impact of UDAN in stimulating demand and improving connectivity in Tier II-III cities, where incremental capacity deployment has led to disproportionately higher traffic growth vs the overall aviation market.

Another encouraging factor is the passenger traffic at UDAN

A SMALL SHARE

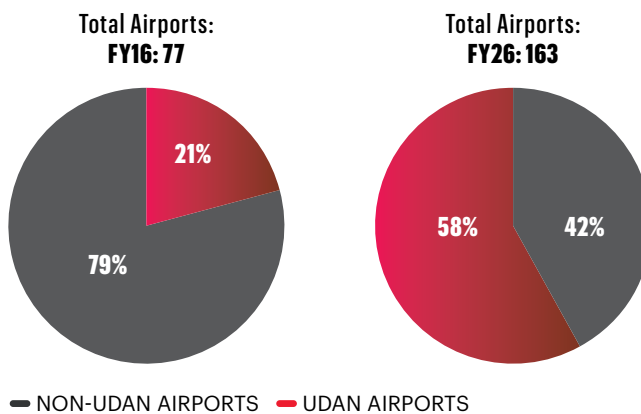
- ▶ UDAN 1.0 contributed little to domestic passenger traffic
- ▶ Higher share during COVID as other modes of travel were restricted



SOURCE DGCA/CRISIL INTELLIGENCE

FEW FOOTFALLS

- ▶ UDAN airports now account for 58% share of airports in India; but have limited flight operations



SOURCE DGCA/CRISIL INTELLIGENCE

and regional airports, which have sharply increased post-Covid-19 (FY20-25), significantly surpassing the national average.

While overall Indian passenger traffic grew 1.2x over the period, several regional airports have

grown in multiples. Agra, Hindon, and Tezpur airports have seen exponential growth (7-10x), whereas Jalgaon, Bhuj, and Diu have grown 3-5x. This indicates that traffic growth has been much stronger at smaller airports, albeit on a lower